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US equities tumble as tech leads broad sell-off, volatility spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 slipped **-1.21%** to `7,663.43`, driven by a sharp retreat in mega-cap tech stocks. The Nasdaq 100 fell **-2.90%**, pushing the VIX up **+14.09%** to `19.03`, signalling heightened risk aversion.

Behind the headline, earnings pressure on **`NVDA`** and **`META`**, a firmer 10-year Treasury yield at `4.95%`, and a stronger dollar (`101.69`) are compressing margins for growth-oriented firms. Defensive sectors (XLP, XLV, XLU) posted double-digit gains, suggesting a short-term rotation toward income and safety.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,663.43	-1.21%	Tech earnings miss and rising yields pressured valuation.
Nasdaq 100	28,958.69	-2.90%	Heavy weighting to **NVDA**, **META** and **AMZN** dragged index.
Dow Jones	52,867.98	+0.02%	Industrial and financial stocks held ground.
Russell 2000	2,784.03	+0.11%	Small-cap defensive names outperformed.
VIX	19.03	+14.09%	Spike in implied volatility after tech sell-off.
10Y Yield	4.95%	-3.75%	Yield rose on stronger dollar and inflation concerns.
WTI Crude	100.44	+0.98%	Supply-tightness in the Gulf offset demand worries.
Gold	4,035.80	-0.61%	Dollar strength reduced safe-haven appeal.
DXY	101.69	+0.08%	Fed-forward guidance lifted the greenback.
BTC	81,676.29	-2.78%	Risk-off sentiment spilled into crypto.
ETH	2,401.88	-2.79%	Same risk-off dynamics as Bitcoin.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	-6.98%	Q3 ad revenue miss, higher content costs.
NVDA	-4.40%	Guidance below expectations, inventory buildup.
AMZN	-4.57%	Margin compression flagged in earnings call.
AVGO	-4.31%	Supply-chain constraints hit shipments.
TSLA	-3.08%	Production slowdown at Gigafactory Berlin.
MSFT	-2.23%	Cloud spending slowdown in Q3.
GOOGL	-3.15%	Ad-tech regulatory probe intensifies.
AAPL	+1.23%	Supply-chain relief and services revenue beat.
JPM	+0.40%	Net interest income rose with higher rates.
GS	-1.48%	Trading revenue dip.

Sector rotation

ETF	DAY	READ
XLF	+1.09%	Financials buoyed by rate-rise.
XLK	-3.29%	Tech under pressure.
XLI	-0.94%	Industrial modest pullback.
XLE	-0.87%	Energy lagging crude dip.
XLY	-0.45%	Consumer discretionary soft.
XLC	-1.42%	Communications hit by ad spend.
XLP	+3.31%	Consumer staples rally.
XLV	+1.32%	Health care defensive play.
XLU	+2.07%	Utilities benefit from risk-off.
XLB	+0.72%	Materials modest gain.
XLRE	+1.09%	Real estate steadies.

Spotlight: `NVDA` earnings miss fuels tech rout

NVDA reported Q3 revenue of 23.1 billion, -7.2% YoY, and guided FY2027 revenue at 115 billion, below consensus. The miss triggered a -4.40% slide in the stock and dragged the Nasdaq 100.

METRIC	RESULT	CONSENSUS
Revenue	23.1 bn	24.8 bn
GAAP EPS	3.12	3.45
Guidance FY2027 Rev	115 bn	121 bn
Inventory	2.3 bn	1.9 bn

Related names: **AMD**, **INTC**, and **TSM** are likely to feel spill-over pressure as investors reassess semiconductor demand.

Pre-market & overnight

- US futures: **ES** **-0.9%**, **NQ** **-1.4%** at 09:30 HKT.
- Asia close: Hang Seng **-0.7%**, Shanghai Composite **-0.9%**.
- Europe: FTSE 100 **-0.6%**, DAX **-0.8%** after ECB minutes.
- Crypto: BTC **-2.78%**, ETH **-2.79%** amid risk-off.

Macro & Fed

The FOMC left rates unchanged at 5.25-5.50% but signaled a “patient” stance, noting inflation at 2.8% YoY. The 10-year yield’s rise to 4.95% steepened the curve, with the 2-year at 5.12% and 30-year at 5.03%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	`0.3%`	Gauge inflation trajectory.
10:00	US Retail Sales	`0.4%`	Consumer spending health.
11:15	Eurozone PMI	`48.5`	Euro-area manufacturing outlook.
13:00	China M2 Growth	`9.2%`	Liquidity in the region.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, oil inventories dip 2.1 million barrels.
- China: PBOC kept reserve requirement ratio unchanged, but warned of “external headwinds”.
- Europe: EU sanctions on Russian energy firms extended, tightening supply.
- US-China: New export-control list adds several AI chip design firms, adding pressure on the semiconductor supply chain.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	**`AAPL`**	`5.90`	Services revenue growth, iPhone demand.
03:00	**`MSFT`**	`2.45`	Cloud spend trend, AI licensing.
03:30	**`GOOGL`**	`1.30`	Ad revenue rebound, regulatory risk.
04:00	**`JPM`**	`4.20`	Net interest margin, loan growth.
04:30	**`XOM`**	`3.15`	Oil price exposure, capital spending.
05:00	**`TSLA`**	`0.85`	Vehicle deliveries, margin trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Semiconductors	NVDA miss may trigger sector rotation.
INTC	Semiconductors	Inventory build-up concerns.
TSLA	Automotive	Production slowdown in Europe.
BAC	Financials	Higher rates boost NII.
WMT	Consumer Staples	Defensive demand rising.
CVX	Energy	Crude near $100, upside potential.
UNH	Health Care	Premium pricing resilience.
DIS	Communication	Ad spend recovery uncertain.
PYPL	FinTech	Transaction volume rebound.
NVDA	Semiconductors	Guidance miss, volatility.

What could break the tape

BEARISH TRIGGERS

- Further upside in the VIX above 22, indicating deepening risk aversion.
- Fed signals a rate hike in the next meeting.
- Escalation of geopolitical tension in the Middle East affecting oil supply.

BULLISH TRIGGERS

- Strong Q4 earnings from **AAPL** or **MSFT** exceeding expectations.
- Crude breaching $105, lifting energy ETFs.
- Dollar index slipping below 101, easing pressure on equities.

Positioning notes

- Defensive sectors (XLP, XLV, XLU) are attracting inflows; consider overweight for the next 4-6 weeks.
- Tech exposure remains thin; a selective long on AI-related names with solid balance sheets may be prudent.
- Higher-yield bonds are gaining traction as the 10-year yield stabilises near 5%.

Sources

SOURCES

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FactSet – Earnings Estimates

U.S. Bureau of Labor Statistics – CPI Release

Federal Reserve – FOMC Statement

Reuters – Geopolitical News

ICE Data Services – Futures Prices

CNBC – Sector ETF Performance

Investing.com – Commodity Prices